Economics - Graduate Level Assessment 15 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Which of the following statements accurately describes the relationship between average product (AP) and marginal product (MP) of labor?

   (a) MP intersects AP at the minimum of MP.

   (b) AP rises when MP is above it and falls when MP is below it.

   (c) MP is always higher than AP regardless of the level of labor.

   (d) AP and MP are inversely related to each other.

   (e) AP falls when MP is above it and rises when MP is below it.

2. An increase in the price level and a decrease in real GDP in the short run could be the result of

   (a) a decrease in the money supply.

   (b) an increase in consumer confidence.

   (c) a sudden surge in technological innovation.

   (d) a prolonged period of very bad weather.

   (e) a decrease in consumer confidence.

3. What is the consequenceof permanent inflation for the What is the consequence interest rates?

   (a) Interest rates decrease to stimulate economic growth

   (b) Interest rates become discounted by the anticipated rate of inflation

   (c) Inflation has no relation to interest rates

   (d) Interest rates fluctuate randomly regardless of inflation

   (e) Central banks have less control over interest rates

4. Crowding out

   (a) occurs when interest rates fall due to government borrowing.

   (b) occurs when consumers and firms spend less offsetting expansionary fiscal policy.

   (c) occurs when the government reduces its spending in response to inflation.

   (d) is a consequence of contractionary fiscal policy.

   (e) is one reason fiscal policy is so effective.

5. Suppose that the interest rate has risen from 8% to 10% over a three year period while inflation has risen from 3% to 5%. What has happened to the real interestrate.

(a) Real interest rate decreases by 2%
(b) Real interest rate more than doubles
(c) Real interest rate decreases
(d) Real interest rate increases
(e) Real interest rate is halved

True / False (10 marks)

Answer True or False

6. True or False: In the absence of a required reserve ratio, a single dollar deposit can theoretically expand the money supply infinitely.

7. True or False: Diminishing marginal returns to short-run production occur when the marginal product of labor remains constant.

8. True or False: An increase in the Consumer Price Index (CPI) from 120 to 150 indicates that prices have risen by 25 percent.

9. True or False: When business firms expect lower sales in the future, the aggregate demand curve shifts to the left due to decreased investment and spending.

10. True or False: The demand for beef is price elastic, indicating that a rise in price leads to a proportionally larger decrease in quantity demanded.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how the characteristics of capital goods and consumer durables contribute to their vulnerability during a recession, focusing on aspects such as postponability and market power.

12. Discuss how differences in inflation rates between the European Union and the United States can impact the exchange rate between the euro and the U.S. dollar, particularly focusing on the appreciation of the dollar.

End of Paper